

Sugar

Prices in 2004: **Rs 17.97**

Prices in 2008: **Rs 21.28**

Current Market Prices

Rs 31.12



Price in 2004: **Rs 16.92**

Price in 2008: **Rs 20.91**

Current Market Price

Rs 20

* price per litre

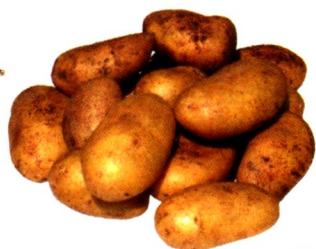
Potato

Price in 2004: **Rs 9.40**

Price in 2008: **Rs 9.91**

Current Market Price

Rs 17.50



Onion

Price in 2004: **Rs 8.98**

Price in 2008: **Rs 13.37**

Current Market Price

Rs 11.50



more pronounced over north-east and north-west India—both important for food-grain production. Some economists warn of inflation riding on higher food prices, reaching 7.5 per cent by March 2010.

The political fallout will be felt in Maharashtra and Haryana, two key agricultural states which go to the polls in October. The Opposition is salivating at this opportunity. Calling the current increase in prices an artificial one, the BJP's Maharashtra President Nitin Gadkari says price rise is a major issue for at least 50 per cent of the state's rural population, according to their surveys. It's certainly an issue in Haryana. Declares Indian National Lok Dal state President Ashok Arora, "Why would people want to vote for a party that has given them this gift of *mehengai* (price rise)?" Chief Minister Bhupinder Singh Hooda is confident that this is a non-issue. "It will have little bearing on the poll results," he claims, but he is clearly worried.

In Maharashtra, the Congress is claiming that it has no role in the price rise but party leaders in the state are busy getting themselves photographed at various public distribution system (PDS) ration shops doling out cheap Tur dal, sugar and palm oil. A check shows that few PDS shops in Mumbai are actually receiving these essential commodities for distribution.

Parties like the Maharashtra Navnirman Sena (MNS) and the Shiv Sena have grabbed the opportunity by sourcing foodgrain, sugar and rice and distributing them in various Assembly constituencies. Says Shilpa Sarpotdar, president of the women's wing of MNS, "The Government claims that it is disbursing stocks to ration shops but in reality

There has to be sufficient political will to ensure the effective functioning of the PDS and keep prices of food items within reach of the common people."

MAHENDRA DEV, *Chairman, Commission for Agricultural Costs and Prices*

this is not so." Initiated by Rashmi Thackeray, Shiv Sena President Uddhav Thackeray's wife, the party has set up several stalls in Thane district where vegetables are being sold at half their market prices.

The Congress finds itself on the backfoot. Unlike last year, when the Government had blamed the rise in food prices on global forces, this time inflation is very much a home-grown problem. Poor agri-infrastructure like irrigation, cold chains, transportation, road connectivity and storage facilities have resulted in wastage of perishables. In anticipation of inflationary pressures, retail and wholesalers are charging a premium to already high prices of food articles. Meanwhile, productivity of pulses, untouched by the Green Revolution, has dropped. With marginal farmers unable to get adequate yields to support their families, many have moved away from pulses to more lucrative vegetables. In Andhra Pradesh, second among rice-producing states, the production of quality rice has not kept pace with the rise in demand. It's a similar story with regard to pulses. The demand for red gram was 4.39 lakh tonnes against the production of 1.44 lakh tonnes. The sharp increase in the prices of pulses, particularly red gram, in Andhra Pradesh, is because of

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